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24. Provisions (Contd.)

[Item No. V(b) and VI(b), Page F143]

Year ended March 31, 2025

(₹ crore)

	Insurance Provision	Provision for restoration and rehabilitation	Others	Total
Balance at the beginning of the year	293.72	2,034.27	1,646.90	3,974.89
Recognised/(released) during the year*	16.79	1,301.72	285.93	1,604.44
Utilised during the year	(63.74)	(300.78)	(336.07)	(700.59)
Other re-classifications	(0.19)	(1.26)	(25.40)	(26.85)
Exchange differences on consolidation	13.41	34.57	31.27	79.25
Balance at the end of the year	259.99	3,068.52	1,602.63	4,931.14

* Includes provisions capitalised during the year in respect of restoration obligations.

25. Deferred income

[Item No. V(d) and VI(d), Page F143]

A. Non-current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Grants relating to property, plant and equipment	1,160.51	327.04
(b) Revenue grants	176.96	94.90
(c) Other deferred income	261.10	342.97
	1,598.57	764.91

B. Current

(₹ crore)

	As at March 31, 2026	As at March 31, 2025
(a) Grants relating to property, plant and equipment	-	0.52
(b) Revenue grants	5.17	5.60
(c) Other deferred income	82.92	24.59
	88.09	30.71

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26. Other liabilities

[Item No. V(f) and VI(f), Page F143]

A. Non-current

	As at March 31, 2026	As at March 31, 2025
(a) Advances received from customers	136.69	0.59
(b) Statutory dues	164.28	301.08
(c) Other credit balances	2,795.70	2,488.16
	3,096.67	2,789.83

B. Current

	As at March 31, 2026	As at March 31, 2025
(a) Advances received from customers	2,222.19	1,654.93
(b) Employee recoveries and employer contributions	39.94	41.54
(c) Statutory dues	10,128.57	10,826.37
(d) Other credit balances	795.60	778.97
	13,186.30	13,301.81

- (i) As on March 31, 2025, current advance from customer included an interest-bearing advance of ₹374.21 crore which has been adjusted against export of steel products. Amount of revenue recognised for the year ended March 31, 2026 in respect of such advances outstanding at the beginning of the year is **₹464.92** crore (2024-25: ₹1,465.61 crore).
- (ii) Statutory dues primarily relate to payables in respect of GST, excise duty, service tax, sales tax, electricity duty, water tax, VAT, tax deducted at source and royalties. It also includes provision for demand notices received against shortfall in dispatch of Chromite ore from the mines **₹818.01** crore (March 31, 2025: ₹818.01 crore). The demand notices have been challenged before the Hon'ble High Court of Orissa and as per the court direction, an amount of **₹218.50** crore (March 31, 2025: ₹218.50 crore) has been paid under protest.
- (iii) Non-current and current other credit balance includes GST compensation cess and interest thereon amounting to **₹2,727.11** crore (March 31, 2025: ₹2,451.59 crore) and **₹754.60** crore (March 31, 2025: ₹750.00 crore) against sale of property, plant and equipment.

27. Trade payables

[Item No. VI(a)(iii), Page F143]

A. Total outstanding dues of micro and small enterprises

	As at March 31, 2026	As at March 31, 2025
Dues of micro and small enterprises	1,898.89	1,510.71
	1,898.89	1,510.71

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27. Trade payables (Contd.)

[Item No. VI(a)(iii), Page F143]

B. Total outstanding dues of creditors other than micro and small enterprises

	As at March 31, 2026	As at March 31, 2025
(a) Creditors for supplies and services	32,613.49	27,465.15
(b) Acceptances	297.76	338.52
	32,911.25	27,803.67

C. Ageing of trade payables is as below:

As at March 31, 2026

	Not due	Outstanding for the following periods from the due date of payment				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues - micro and small enterprises	1,356.37	40.70	-	-	-	1,397.07
Undisputed dues - others	23,826.29	3,455.73	164.65	35.52	42.44	27,524.63
Disputed dues - micro and small enterprises	-	-	-	-	-	-
Disputed dues - others	0.39	-	-	-	18.55	18.94
	25,183.05	3,496.43	164.65	35.52	60.99	28,940.64
Add: Unbilled dues*						5,869.50
Total trade payables						34,810.14

*Included dues of ₹501.81 crore from micro and small enterprises.

As at March 31, 2025

	Not due	Outstanding for the following periods from the due date of payment				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues - micro and small enterprises	1,106.27	82.27	-	-	1.65	1,190.19
Undisputed dues - others	19,476.55	3,254.08	81.85	18.13	48.71	22,879.32
Disputed dues - micro and small enterprises	-	-	-	-	-	-
Disputed dues - others	0.22	-	-	0.18	18.17	18.57
	20,583.04	3,336.35	81.85	18.31	68.53	24,088.08
Add: Unbilled dues*						5,226.30
Total trade payables						29,314.38

*Included dues of ₹320.52 crore from micro and small enterprises.

- (i) The Group has trade payables balance amounting to ₹881.46 crore which are part of supplier finance arrangements, wherein the suppliers entitled to avail early payment. Out of the above supplier has received payment of ₹775.45 crore as at March 31, 2026 from the finance provider. The credit period ranges between 30-60 days which is comparable to the credit period offered by other suppliers.

There is no non-cash changes in the carrying amounts of the financial liabilities which form part of supplier finance. There were no material business combinations or foreign exchange differences that would affect the liabilities under the supplier finance arrangement in either period.

Further, the Group has not provided comparative information in respect of the amendments to Ind AS 7 and Ind AS 107 relating to supplier finance arrangements, as it has applied the transitional relief available on initial adoption of these amendments, which allows entities not to present comparative disclosures for prior periods.

- (ii) Acceptances of ₹297.76 crore includes acceptances of ₹162.28 crore which do not form part of supplier finance arrangements.

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28. Revenue from operations

[Item No. I, Page F144]

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Sale of products	2,28,149.99	2,14,616.50
(b) Sale of power and water	1,955.95	1,927.56
(c) Income from services	187.53	296.29
(d) Other operating revenues ⁽ⁱⁱ⁾	1,846.47	1,702.16
	2,32,139.94	2,18,542.51

- (i) Revenue from contracts with customers disaggregated on the basis of geographical regions and major businesses is as below:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) India	1,28,972.88	1,24,665.57
(b) Outside India	1,01,320.59	92,174.78
	2,30,293.47	2,16,840.35

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Steel	2,19,940.86	2,02,984.75
(b) Power and Water	1,955.95	1,927.56
(c) Others	8,396.66	11,928.04
	2,30,293.47	2,16,840.35

Revenue outside India includes (a) Asia excluding India **₹8,498.01** crore (2024-25: ₹11,638.74 crore), (b) UK **₹15,313.57** crore (2024-25: ₹15,469.55 crore) and (c) other European countries **₹53,720.85** crore (2024-25: ₹51,127.53 crore).

- (ii) Other operating revenues include income from export and other incentives schemes.
- (iii) There are no significant adjustment between the contracted price and the revenue recognised.

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29. Other income

[Item No. II, Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
(a) Dividend income	106.76	71.41
(b) Interest income	727.05	794.55
(c) Net gain/(loss) on sale/fair value changes of mutual funds	179.44	242.63
(d) Gain/(loss) on sale of property, plant and equipment including intangible assets (net of loss on assets scrapped/written off)	61.17	225.98
(e) Gain/(loss) on cancellation of forwards, swaps and options	109.59	69.81
(f) Other miscellaneous income	217.77	136.15
	1,401.78	1,540.53

(i) Dividend income includes income from investments carried at fair value through other comprehensive income of **₹101.91** crore (2024-25: ₹64.74 crore)

(ii) Interest income includes:

(a) income from financial assets carried at amortised cost of **₹727.05** crore (2024-25: ₹780.36 crore).

(b) income from financial assets carried at fair value through profit and loss **Nil** (2024-25: ₹14.19 crore).

30. Employee benefits expense

[Item No. IV(d), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
(a) Salaries and wages	20,357.57	19,542.84
(b) Contribution to provident and other funds	4,514.01	4,215.68
(c) Staff welfare expenses	1,127.40	1,130.47
	25,998.98	24,888.99

During the year ended March 31, 2026, the Company has recognised an amount of **₹40.66** crore (2024-25: ₹32.91 crore) as remuneration to key managerial personnel. The details of such remuneration are as below:

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
(a) Short-term employee benefits	37.05	31.29
(b) Post-employment benefits	3.60	1.50
(c) Other long-term employee benefits	0.01	0.12
	40.66	32.91

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31. Finance costs

[Item No. IV(e), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
Interest expense on:		
(a) Bonds, debentures, bank borrowings and others	7,663.36	7,892.18
(b) Lease obligations	547.83	518.76
	8,211.19	8,410.94
Less: Interest capitalised	1,044.13	1,069.99
	7,167.06	7,340.95

32. Depreciation and amortisation expense

[Item No. IV(f), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
(a) Depreciation on property, plant and equipment and amortisation of other intangible assets	10,766.14	9,512.13
(b) Depreciation on right-of-use assets	1,190.87	914.26
Less: Amount released from grants received	2.50	5.06
	11,954.51	10,421.33

33. Other expenses

[Item No. IV(g), Page F144]

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
(a) Consumption of stores and spares*	10,428.46	10,978.88
(b) Repairs and maintenance	9,615.51	10,717.11
(c) Relining expenses	282.92	304.54
(d) Power, fuel and industrial gases	14,333.15	13,124.85
(e) Conversion charges	3,213.23	3,053.63
(f) Freight and handling charges	13,945.84	13,646.34
(g) Rent and hire charges	3,099.22	3,461.90
(h) Mining premium and royalties	5,681.56	5,340.06
(i) Rates and taxes	3,492.14	2,288.33
(j) Insurance charges	756.05	680.91
(k) Commission	320.02	366.06
(l) Allowance for credit losses/provision for advances	106.63	9.28
(m) Others	13,864.48	10,728.10
	79,139.21	74,699.99

*Net of capitalisation of ₹3,925.27 crore (2024-25: ₹5,910.24 crore)

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33. Other expenses (Contd.)

[Item No. IV(g), Page F144]

- (i) Others include: net foreign exchange gain **₹424.17** crore (2024-25: ₹419.53 crore) and reversal of provision for claims no longer required back **Nil** (2024-25: ₹1860.39 crore)
- (ii) During the year ended March 31, 2026, the Company has recognised an amount of **₹9.01** crore (2024-25: ₹7.95 crore) towards payment to non-executive directors. The details are as below:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Short-term benefits	8.60	7.50
(b) Sitting fees	0.41	0.45
	9.01	7.95

- (iii) Revenue expenditure charged to the consolidated statement of profit and loss in respect of research and development activities undertaken during the year is **₹1,456.25** crore (2024-25: ₹916.06 crore).

34. Exceptional items

[Item No. VII, Page F144]

Exceptional items are those which are considered for separate disclosure in the financial statements considering their size, nature or incidence. Such items included within the consolidated statement of profit and loss are detailed below:

- (a) Profit/(loss) on sale of subsidiaries/non-current investments/business undertakings/non-current assets represents profit of **₹322.08** crore profit on sale of Jajpur plant within Indian operations (refer note 50, page F265) and loss of **₹13.73** crore on disposal of a subsidiary forming part of Indian operations (refer note 39, page F241) (2024-25: loss of ₹7.05 crore on disposal of offshore joint venture forming part of the Group's European operations and profit on sale of non-current assets of ₹61.89 crore within Group's South-East Asian operations).
- (b) Provision for impairment of non-current assets includes impairment recognised in respect of property, plant and equipment (including capital work-in-progress), right-of-use assets, intangible assets and other assets of **₹210.71** crore pertaining to Group's Indian operations, **₹62.77** crore within the Group's European operations and **₹50.29** crore within the Group's Canadian operations. (2024-25: provision for impairment of non-current assets includes ₹119.18 crore within the Group's European operations).
- (c) Statutory impact of new labour codes **₹85.37** crore (2024-25: Nil) (refer note 46, page F264).
- (d) Restructuring, redundancy and other provisions (net) includes Employee separation compensation of **₹485.22** crore (2024-25: ₹691.65 crore) relates to provisions recognised in respect of early separation of employee within the Group's Indian operations, Restructuring and other provisions of **₹994.22** crore (2024-25: ₹57.70 crore) pertaining to the Group's European operations, and demand & claims of **₹379.03** crore (2024-25: Nil) within Group's European operations.
- (e) Contribution made in progressive electoral trust for the year ended March 31, 2025 ₹173.11 crore.
- (f) Gain/(loss) on non-current investments includes gain on fair valuation of existing stake in Tata Steel Colors Private Limited **₹901.13** crore and gain on non-current investments classified as fair value through profit and loss **₹25.67** crore (2024-25: gain ₹16.76 crore) represents fair value changes of investments in preference shares held by Group.

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35. Earnings per share

[Item No. XV, Page F145]

The following table reflects the profit/(loss) and shares data used in the computation of basic and diluted earnings per share (EPS).

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
(a) Profit for the year attributable to the owners of the Company	10,793.87	3,420.51
Profit attributable to the Ordinary shareholders - for basic and diluted EPS	10,793.87	3,420.51
	Nos.	Nos.
(b) Weighted average number of Ordinary shares for basic EPS	12,47,18,47,611	12,47,18,47,611
Add: Adjustment for shares held in abeyance	36,33,051	35,17,726
Weighted average number of Ordinary shares and potential Ordinary shares for diluted EPS	12,47,54,80,662	12,47,53,65,337
(c) Nominal value of Ordinary Shares (₹)	1.00	1.00
(d) Basic earnings per Ordinary Share (₹)	8.65	2.74
(e) Diluted earnings per Ordinary Share (₹)	8.65	2.74

36. Employee benefits

A. Defined contribution plans

The Group participates in a number of defined contribution plans on behalf of relevant personnel. Any expense recognised in relation to these schemes represents the value of contributions payable during the period by the Group at rates specified by the rules of those plans. The only amounts included in the consolidated balance sheet are those relating to the prior months contributions that were not due to be paid until after the end of the reporting period.

The major defined contribution plans operated by the Group are as below:

(a) Provident fund and pension

The Company and its Indian subsidiaries provide provident fund benefits for eligible employees as per applicable regulations wherein both employees and the Company/Indian subsidiaries make monthly contributions at a specified percentage of the eligible employees' salary. Contributions under such schemes are made either to a provident fund set up as an irrevocable trust by the Company/Indian subsidiaries to manage the investments and distribute the amounts entitled to employees or to state managed funds.

Benefits provided under plans wherein contributions are made to state managed funds and the Company/Indian subsidiaries do not have a future obligation to make good short fall if any, are treated as a defined contribution plan.

(b) Superannuation fund

The Company and some of its Indian subsidiaries have a superannuation plan for the benefit of its employees. Employees who are members of the superannuation plan are entitled to benefits depending on the years of service and salary drawn.

Separate irrevocable trusts are generally maintained for employees covered and entitled to benefits. The Company and its Indian subsidiaries contribute up to 15% of the eligible employees' salary or ₹1,50,000, whichever is lower, to the trust every year. Such contributions are recognised as an expense as and when incurred. The Company and its Indian subsidiaries does not have any further obligations beyond this contribution.

The contributions recognised as an expense in the consolidated statement of profit and loss during the year on account of the above defined contribution plans amounted to **₹1,955.95** crore (2024-25: ₹1,825.37 crore).

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36. Employee benefits (Contd.)

B. Defined benefit plans

The defined benefit plans operated by the Group are as below:

(a) Provident fund and pension

Provident fund benefits provided under plans wherein contributions are made to an irrevocable trust set up by the Company/Indian subsidiaries to manage the investments and distribute the amounts entitled to employees are treated as a defined benefit plan as the Company/Indian subsidiaries are obligated to provide the members a rate of return which should, at the minimum, meet the interest rate declared by Government administered provident fund as per the Employees' Provident Funds and Miscellaneous Provisions Act, 1952. A part of the Company's/Indian subsidiaries' contribution is transferred to Government administered pension fund. The contributions made by the Company/Indian subsidiaries and the shortfall of interest, if any, are recognised as an expense in the consolidated statement of profit and loss under employee benefits expense.

In accordance with an actuarial valuation of provident fund liabilities based on guidance issued by Actuarial Society of India and based on the assumptions as mentioned below, there is deficiency of ₹24.42 crore (March 31, 2025: ₹24.42 crore) in the interest cost in respect of the entities merged with the Company in earlier periods, as the present value of the expected future earnings of the fund is lesser than the expected amount to be credited to the individual members based on the expected guaranteed rate of interest of Government administered provident fund.

Key assumptions used for actuarial valuation are as below:

	As at March 31, 2026	As at March 31, 2025
Discount rate	6.90%-7.00%	6.60%
Guaranteed rate of return	8.25%	8.25%
Expected Rate of return on investment	7.25%-8.30%	7.25%-8.15%

(b) Retiring gratuity

The Company and its Indian subsidiaries have an obligation towards gratuity, a defined benefit retirement plan covering eligible employees as per The Payment of Gratuity Act, 1972. The plan provides for a lump-sum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 to 30 days wage payable for each completed year of service. Vesting occurs upon completion of five years of service for permanent employees and one year of service for fixed term employees. The Company and its Indian subsidiaries make annual contributions to gratuity funds established as trusts or insurance companies. The Company and its Indian subsidiaries accounts for the liability for gratuity benefits payable in the future based on an actuarial valuation.

(c) Post-retirement medical benefits

Under this unfunded scheme, employees of the Company and some of its subsidiaries receive medical benefits subject to certain limits on amounts of benefits, periods after retirement and types of benefits, depending on their grade and location at the time of retirement. Employees separated from the Company and its subsidiaries under an early separation scheme, on medical grounds or due to permanent disablement are also covered under the scheme. The Company and such subsidiaries account for the liability for post-retirement medical scheme based on an actuarial valuation.

(d) Tata Steel Europe's pension plan

Tata Steel Europe (TSE), a wholly owned indirect subsidiary of the Company, operates a number of defined benefit pension and post-retirement schemes. The benefits offered by these schemes are largely based on pensionable pay and years of service at retirement. With the exception of certain unfunded arrangements, the assets of these schemes are held in administered funds that are legally separated from Tata Steel Europe. For those pension schemes set up under a trust, the trustees are required by law to act in the best interests of the schemes beneficiaries in accordance with the

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36. Employee benefits (Contd.)

scheme rules and relevant pension legislation. The trustees are generally responsible for the investment policy with regard to the assets of the fund, after consulting with the sponsoring employer.

TSE accounts for all pension and post-retirement defined benefit arrangements using Ind AS 19 'Employee Benefits', with independent actuaries being used to calculate the costs, assets and liabilities to be recognised in relation to these schemes. The present value of the defined benefit obligation, the current service cost and past service costs are calculated by these actuaries using the Projected unit credit method. However, the ongoing funding arrangements of each scheme, in place to meet their long-term pension liabilities, are governed by the individual scheme documentation and national legislation. The accounting and disclosure requirements of Ind AS 19 "Employee benefits" do not affect these funding arrangements.

The principal defined benefit pension scheme for TSUK is the British Steel Pension Scheme ('BSPS'), which is the main scheme for previous and present employees based in the UK. Benefits offered by this scheme are based on final earnings and years of service at retirement. The assets of this scheme are held in separately administered fund.

The British Steel Pension Scheme ('BSPS') is the legacy defined benefit pension scheme in the UK and is closed to future accrual. The current Scheme is the successor to the old BSPS which entered a PPF assessment period in March 2018 following a Regulated Apportionment Arrangement ('RAA') which separated the old BSPS from TSUK. The current Scheme was created on March 28, 2018 when 69% of the members of the old Scheme transferred into the current Scheme. The Scheme is sponsored by TSUK and at the end of March 2025 had around 62,000 members of which 80% were pensioners with benefits in payment. Although TSUK has a legal obligation to fund any future deficit, a key condition of the new BSPS going forward was that it was sufficiently well funded to meet the Scheme's modified liabilities on a self-sufficiency basis with a buffer to cover residual risks.

In previous years the scheme has entered into a number of buy-in transactions with an external insurer and, on May 17, 2023, the BSPS completed a final buy-in transaction which ensured that all liabilities of the Scheme are fully insured. The funding levels secured as part of these arrangements enabled the Trustee to award an uplift equivalent to 3% of liabilities from February 2024 in order to restore an element of member benefits which were foregone as part of the RAA. The final buy-in also included the purchase of an insurance policy on an "all risks" basis whereby any risks for data cleanse items (e.g. impact of Guaranteed Minimum Pension and Barber equalisation) and residual risks (e.g. whether any members claim that their benefit calculations are incorrect) were passed on to the insurer.

During 2025-26 further progress was made with the steps required in order to fully de-risk the Scheme with an allocation of ₹2,181.99 crore. of surplus Scheme funds being made to augment member benefits and, on March 31, 2026, the completion of a full buy-out of the Scheme's liabilities with the external insurer. The buy-out reflects the successful completion of the Company's and Scheme's main objective since the RAA and has been completed ahead of schedule whilst delivering additional benefits for members beyond those specified at the time of the Scheme's inception.

As at the date of the buy-out, all members of the Scheme transferred to the external insurer such that a settlement of the Defined Benefit Obligation of ₹65,532.04 crore has been recognised as at March 31, 2026 with a corresponding reduction in plan assets (comprising all of the insurance policies) such that there was no gain or loss on settlement. As at March 31, 2026 the Scheme has around ₹100.36 crore worth of assets remaining which are expected to be utilised to cover the remaining running and wind-up costs of the Scheme which is expected to be completed by March 31, 2027.

On September 29, 2023, TSUK and the Scheme Trustee signed a Deed of Amendment that stipulated that the Trustee shall apply any surplus assets at the time of winding up of the Scheme to augment